



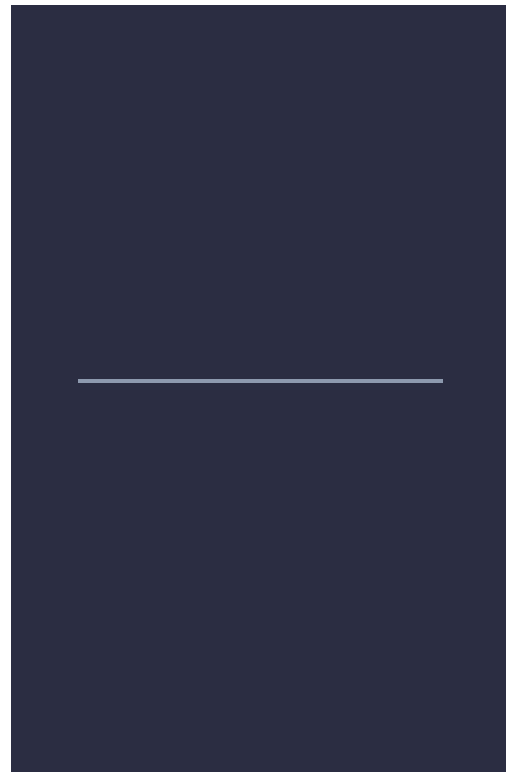
Generative AI's Act Two

From Technology Hammer to Real Value

Sequoia Capital

September 2023

Sonya Huang, Pat Grady and GPT-4



Six Decades of Technological Progress Converged to Enable Generative AI



ChatGPT's launch ignited a Cambrian explosion of innovation not seen since the early internet.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

> \$1B

in startup revenue — a milestone SaaS took years to reach

ChatGPT

Fastest-growing application in history; strong PMF among students & developers

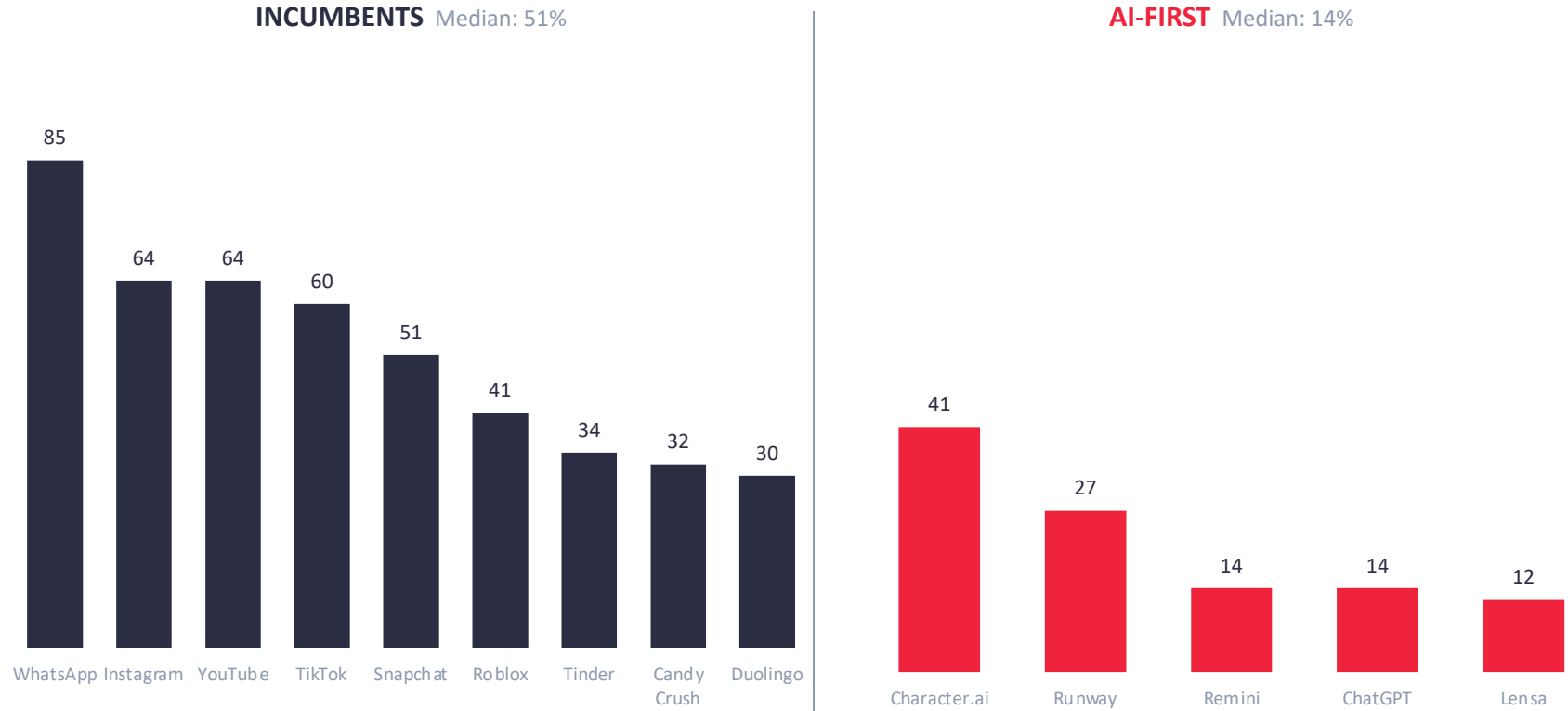
Midjourney

Hundreds of millions in revenue with a team of just 11 people

Character.ai

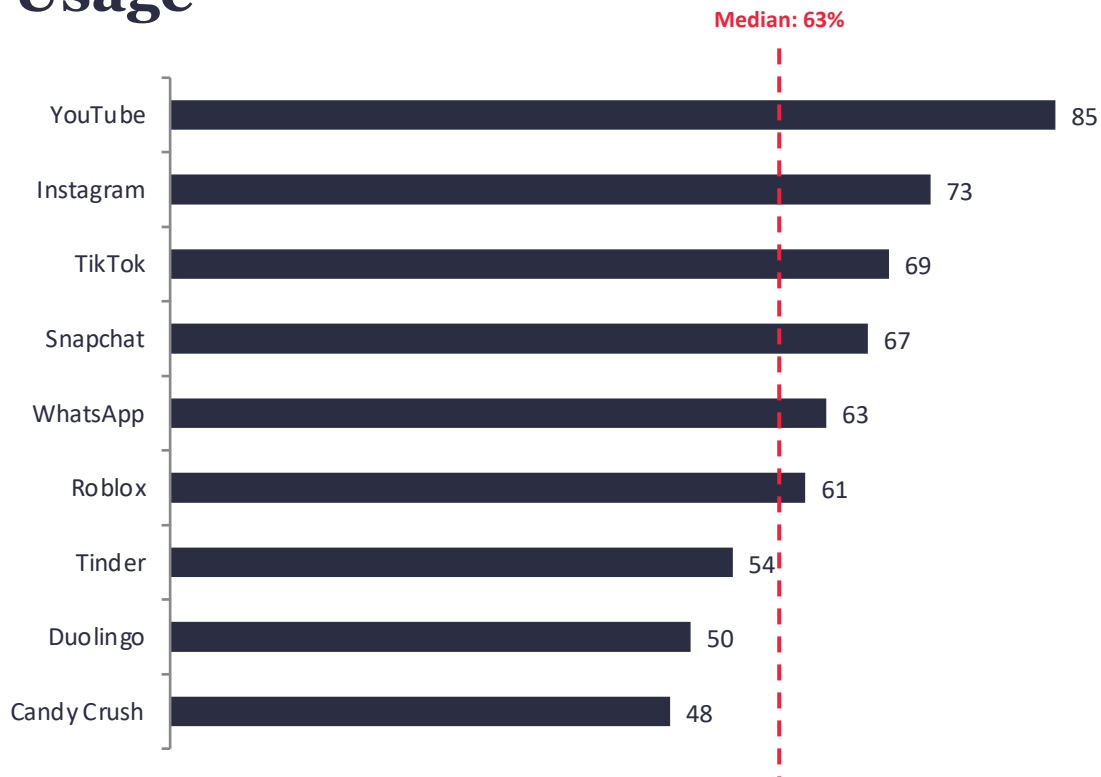
Users spend an average of 2 hours per session in-app

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



Source: Sequoia Capital analysis, September 2023

YouTube Leads Incumbents at 85% Monthly Active Usage



63%

Median Monthly
Active Usage

*This is the engagement bar
AI-first apps must clear*

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1: Technology-Out

- Foundation models as the ENTIRE solution
Lightweight novelty demos
Thin wrappers around models
Poor user retention (14% median)
Technology looking for a problem



ACT 2: Customer-Back

- Foundation models as a PIECE of a comprehensive solution
New editing interfaces that make workflows stickier
Multi-modal in nature
End-to-end problem solving

Act 2 Exemplars

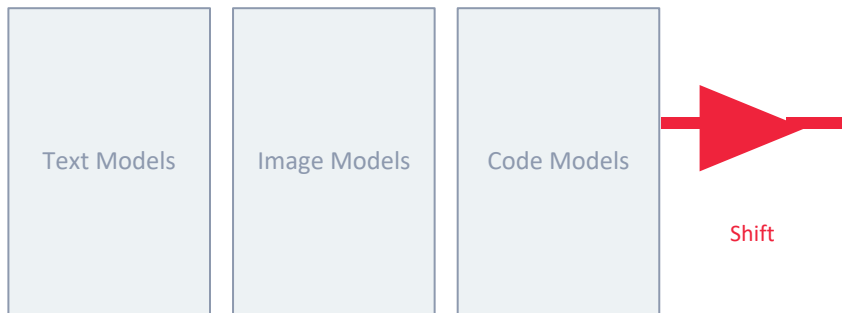
Harvey (legal)

Glean (enterprise search)

Character & Ava (companions)

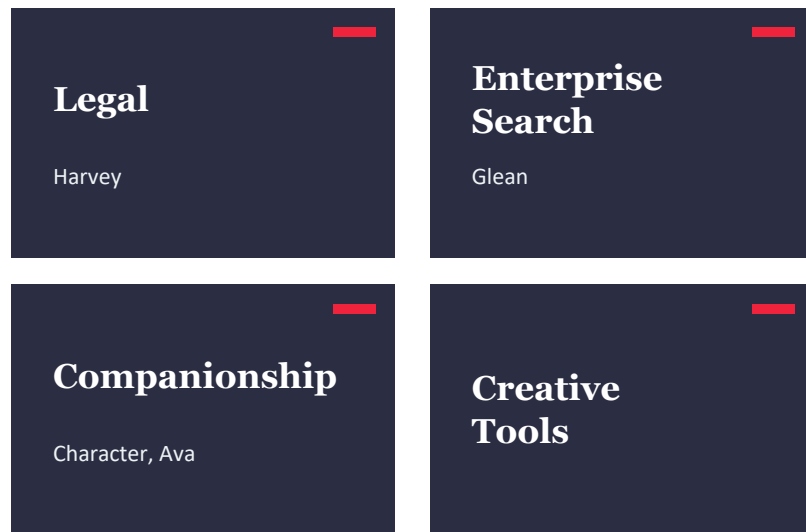
Market Map Reorganized by Use Case, Not Model Modality

BEFORE (Act 1)



Shift

AFTER (Act 2)



Applications are increasingly multi-modal — organized by the human problem they solve, not the model modality they use.

Key Takeaways: What Separates Winners in Act Two

- 1** Retention is the critical challenge — AI-first apps at 14% median vs. 51% for incumbents, a 3.6× disadvantage
- 2** Foundation models should be a component, not the whole product
- 3** Multi-modal, workflow-integrated solutions will win
- 4** The >\$1B revenue milestone proves real demand exists despite hype-cycle skepticism
- 5** Companies solving end-to-end human problems — not building thin wrappers — will define Act 2